

EXIT READINESS · OPERATOR CANVAS

Operator Canvas №001:

a sale-readiness practice

It makes a small business able to survive a buyer's inspection.

EPISODE COMPANION		ADJACENT SYNTHESIS
EPISODE	The One-Person Business That Gets Companies Ready for a Sale	
BUYER	An owner-operated business with real profit, exiting in one to five years.	
OFFER	One fixed-scope readiness engagement.	
RESULT	A business that survives inspection, and a signed record of what was resolved.	
ECONOMICS	The base case does not clear the modeled livelihood requirement.	
FIRST STEP	Build and publish the checklist, then run one diagnostic unpaid and record the hours.	

ECONOMICS DISCLOSURE

Modeled scenario, not observed performance or an earnings forecast.

Scope boundary. Preparation only: never paid on a transaction, never advises on one. Not legal, tax or financial advice. **AI and host.** Episodes are presented by an AI avatar of the host, with narration in a clone of his voice. The research and the arguments are his. The host has no transaction experience, and the episode does not pretend otherwise. Nothing in this Canvas describes a delivered client engagement.

How to read this Canvas

Overall evidence class: **adjacent synthesis**. Every material statement carries one of four evidence labels. The overall class and the per-statement labels are different things.

OBSERVED Sourced fact. Every one carries a claim ID resolved in Source notes.	PARALLEL Transferred from an adjacent model that already exists.	MODELED An assumption, with its arithmetic stated.	UNKNOWN An open question, carried rather than hidden.
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Public Canvas layer

SHORT PUBLIC CATEGORY TITLE	Exit readiness
SHORT SPOKEN COMPANY NAME	a sale-readiness practice
ONE-LINE PLAIN DEFINITION	It makes a small business able to survive a buyer's inspection.
PRECISE INTERNAL OPERATING DESCRIPTION, RETAINED OUTSIDE FIRST-LISTEN NARRATION	a fixed-fee engagement that documents operations, reduces owner dependence, resolves records hygiene, analyses concentration and key-person risk, and assembles a diligence package — stopping short of representing the owner in a transaction.
BUYER	an owner-operated business with real profit, exiting in one to five years.
PROBLEM	most listed businesses never sell, half of exits are unplanned, and value does not transfer while the business is the owner.
OFFER	one fixed-scope readiness engagement.
RESULT	a business that survives inspection, and a signed record of what was resolved.
DELIVERY LOOP	qualify → scope → baseline → interview → document → clean → analyse → reduce dependence → assemble → hand off.
STACK BY CAPABILITY	AI for documentation; operator for judgement; licensed third parties for law, tax and valuation.
AI ROLE	compresses the documentation burden that historically made this a team job.
HUMAN JUDGMENT RETAINED	what a buyer discounts, what is fixable, and when to tell an owner the truth.
BUSINESS-OF-ONE BOUNDARY	one engagement in interview phase at a time.
FIRST-CUSTOMER PATH	through advisers who already meet owners years before a sale.
ENTRY WEDGE	one fixed-fee engagement.
ASPIRATIONAL DESTINATION	a transition-readiness practice with a referral network and repeat work.
PROOF REQUIRED BEFORE EXPANSION	one delivered engagement with recorded hours.
ECONOMICS DISCLOSURE	Modeled scenario, not observed performance or an earnings forecast.

MODELED LIVELIHOOD REQUIREMENT AND REQUIRED CUSTOMER COUNT	\$120,000 requires roughly 11 engagements at the base fee — more than the modeled capacity comfortably allows . At 8 engagements the fee must rise to about \$16,250.
REACHABLE-SHARE ASSUMPTION	single digits per year against millions in transition. Size is not the constraint; reach is, and it is untested.
FIRST CONSTRUCTION STEP AND TEST	build and publish the checklist, then run one diagnostic unpaid and record the hours.
BIGGEST RISK	owners will not pay before a deal exists.

§01 Operator

An experienced professional in operations, finance-adjacent work, consulting, or systems, who can run a structured engagement, read a set of accounts, and tell a founder that the business depends on them. **PARALLEL**: ANA-002, ANA-003.

No licence or sector credential is required for preparation work in most of the country. **OBSERVED**: CLM-004 [state count withheld in the public edition]. The barrier is judgement, not certification.

Not a fit: someone who wants to broker sales, give valuation opinions, or introduce buyers. Those are different businesses and some of them are licensed.

READ CLM-004 AS DIRECTIONAL

Licensing varies by state and changes. This is not legal advice. Verify the line where you work, in writing, before any paid conversation.

§02 Buyer and beneficiary

Economic buyer: the owner of an owner-operated business, typically 55+, intending to exit within one to five years. **OBSERVED**: CLM-002.

Beneficiary: the same owner. Secondarily the acquirer, who receives a business they can actually diligence.

Purchase trigger: a buyer walks or reprices; an adviser tells them they are not ready; a peer's sale falls through; a health or partnership event makes the timeline real. **MODELED** — triggers are inferred from the failure pattern, not surveyed.

Qualified-buyer rule: real profit, owner intends to exit in one to five years, records exist but are not diligence-grade, and operations depend materially on the owner.

Unsuitable-buyer rule: already professionally managed under a non-owner operator; no realistic buyer; owner unwilling to give the interview time; or an owner who wants a valuation or a buyer introduction rather than preparation.

§03 Costly problem

Owners reach the point of sale with owner-dependent operations, undocumented process and records a buyer cannot verify — and are repriced or passed over.

Consequence, quantified from two independent directions. **OBSERVED**: CLM-001.

- Only about **30% of listed small businesses successfully sell**. The modal outcome of going to market is not transacting.
- About **half of exits are involuntary** — death, disability, divorce, disagreement, distress. The event is certain; its timing often is not the owner's.

Roughly **[figure withheld in the public edition]** of the average owner's net worth sits inside the business.

OBSERVED: CLM-002.

Buyers now run fast, competitive diligence: 87% of deals over \$5M drew at least three offers in Q2 2026, and 33% drew ten or more. **OBSERVED**: CLM-003.

What is not claimed: no specific multiple uplift is attributed to preparation. The circulating **[multiple figures withheld in the public edition]** are published by firms selling preparation and are excluded by name.

UNKNOWN.

READ THE HEDGE BEFORE THE NUMBER

CLM-001 and CLM-002 come from the Exit Planning Institute, which trains and certifies exit planners and has an interest in owners feeling unprepared. CLM-002 is a self-reported survey average, not any particular owner. CLM-003 is advisers reporting their own closings, not an audited database. Take all of them as directional rather than precise.

§04

Offer

A fixed-scope, fixed-fee sale-readiness engagement for one business.

Included: readiness diagnostic against a published checklist; records and reporting hygiene; process documentation; owner-dependence reduction; customer-concentration and key-person analysis; assembled diligence package; prioritised remediation plan with what was fixed and what remains open.

Excluded, explicitly: valuation opinions, buyer introductions, representing the owner in a transaction, negotiating or structuring a deal, tax and estate planning, and any legal advice.

Pricing is fixed-fee as a legal consequence, not a preference. Success fees tied to a transaction are what trigger brokerage licensing. **OBSERVED**: CLM-004.

Evidence status: **PARALLEL/MODELED** — the format transfers from due-diligence preparation and compliance-readiness consulting; the combination is unproven.

§05

Buyer result

The owner receives a business that survives inspection, and a written record of what was resolved and what was not.

Primary acceptance measure: every item on the pre-agreed readiness checklist is marked resolved, deferred with a stated reason, or out of scope — and the owner signs that record.

Why the acceptance measure is not the sale. The operator does not control whether a sale happens, when, at what price, or to whom. Roughly half of exits are involuntary, and most listings do not transact at all. Tying acceptance to a sale would make the deliverable depend on an event outside the engagement — and would also

convert the fee into a success fee, which is the thing that triggers licensing. The acceptance event is therefore the signed checklist, not the closing. **OBSERVED**: CLM-001, CLM-004.

Baseline: the diagnostic reading taken at engagement start.

Influence boundary: the operator changes what the business can show a buyer. They do not change whether a buyer appears.

§ 06 **Delivery system**

Before delivery

1. Qualify against the buyer rule; decline unsuitable owners.
2. Agree scope, the readiness checklist, confidentiality, and what the engagement will not do.
3. Take the baseline diagnostic reading.

Core workflow

4. Structured owner and staff interviews to surface undocumented process and owner-held relationships.
5. Draft SOPs and the operating record from those interviews.
6. Records and reporting hygiene — resolve what a buyer would ask for and cannot currently be produced.
7. Concentration and key-person analysis.
8. Owner-dependence reduction: identify what only the owner does, and move or document it.
9. Assemble the diligence package.

Quality and exception handling

Human judgement points, none delegable to tooling: what a buyer will actually discount; what is fixable inside the engagement versus structural; when an owner is not going to do the work; and when a finding needs a licensed professional instead.

Failure routing: anything touching valuation, deal structure, tax, or law routes out to the owner's own adviser.

Recovery: if the owner will not give interview time, the engagement pauses rather than producing an unsupported record.

After delivery

10. Walk the owner through what was resolved and what remains.
11. Hand off — including, where a transaction follows, a named referral to a licensed broker or adviser.
12. Optional re-reading later, scoped and priced separately.

Access ownership: the owner owns every artifact produced. The operator retains no ongoing access after handoff. Revocation is immediate on request.

Capabilities and stack

JOB	WHO OR WHAT DOES IT	NOTE
Interview and elicitation	operator	Not compressible. The largest cost
SOP drafting from recordings	AI-assisted, operator-edited	Where the leverage is
Financial narrative assembly	AI-assisted, operator-verified	Never auto-published
Data-room organisation	AI-assisted	Mechanical
Deciding what a buyer discounts	operator	The product
Telling the owner they are the problem	operator	The hardest part
Anything legal, tax, or valuation	licensed third party	Routed out

Business-of-one design

What AI compresses: the documentation burden — drafting, assembly, organisation. Historically this is what made readiness work a team activity.

What stays human: judgement, accountability, the owner relationship, and the boundary that keeps the practice outside brokerage.

Why one operator can own the initial model: the engagement is sequential, bounded, and gated on one person's availability — the owner's. Adding people does not compress owner-interview time. MODELED

Declared capacity boundary: one operator, one engagement at a time in its interview phase, with documentation phases overlapping.

Go-to-market path

First segment: owners already inside an adviser's orbit — CPAs, wealth and insurance advisers, and brokers who decline listings as unready.

Credibility artifact: the readiness checklist itself, published.

First conversation: with the adviser, not the owner. "What do you do today with the ones who aren't ready?"

First paid ask: one fixed-fee engagement.

Single point of failure, stated plainly: this rests on brokers referring the work rather than doing a version of it free to win the listing. UNKNOWN — first thing the 30-day plan tests.

Entry wedge and expansion ladder

Entry wedge: one fixed-fee readiness engagement for one owner.

Scope invariant that must hold at every stage: **never paid on a transaction; never advises on one.** This is what keeps the practice outside the licensed perimeter.

STAGE	WHAT IS ADDED	PROOF REQUIRED FIRST
1 — wedge	one engagement	none; this is the start
2 — repeat	re-readings and remediation follow-ups	one engagement delivered with recorded hours
3 — referral network	standing adviser relationships	one adviser referring unprompted
4 — productised diagnostic	a lighter, cheaper first product	demand for the diagnostic separate from the full engagement

Service learning is not automatic product demand. Stage 4 requires its own evidence.

Economics model

All forward-looking figures are scenarios, not expected earnings.

Pricing basis and rationale: transferred from fixed-scope compliance-readiness engagements. **No observed sale-readiness fee was found.** MODELED

```
customers × price × billing frequency = modeled gross revenue
labor + tools + vendors + acquisition + delivery overhead = modeled direct cost
available delivery hours ÷ hours per customer = modeled maximum active customers
```

ASSUMPTION	LOW CASE	BASE CASE	HIGH CASE	EVIDENCE LABEL	SOURCE OR REASONING
Price per engagement	\$6,000	\$12,000	\$20,000	MODELED	Transferred from compliance-readiness project pricing
Engagements per year	6	8	10	MODELED	Constrained by owner availability, not operator hours
Delivery hours per engagement	120	85	60	MODELED	Interview time dominates and does not compress
Direct cost per engagement	\$800	\$500	\$300	MODELED	Tooling and incidentals
Acquisition cost or effort	high	moderate	low	MODELED	Referral-led; cost is time, not spend

Modeled contribution before owner compensation and tax, base case:

```
8 × $12,000           = $96,000 gross
8 × $500 direct       = $4,000
annual overhead       = $6,000
-----
contribution          = $86,000
```

Capacity check: $8 \times 85 = 680$ delivery hours. Against ~900 available hours, that leaves ~220 hours for acquisition, admin and overrun.

Break-even condition: roughly 1 engagement per year covers fixed overhead. The business breaks even almost immediately and that is not the interesting number.

Modeled owner-compensation requirement: \$120,000.

Customers or transactions required to meet it: this is where the model strains.

```
required gross = $120,000 + $10,000 costs = $130,000
at base price $12,000 -> 10.8 engagements
10.8 × 85 hours      = 920 delivery hours (against ~900 available)
```

The base case does not clear the modeled livelihood requirement. At \$12,000 it needs roughly 11 engagements, which consumes the entire delivery capacity and leaves nothing for acquisition. The alternatives are explicit:

– Raise the fee. At 8 engagements, \$130,000 requires about **\$16,250 each** — the upper half of the modeled range.

- Or accept less than the modeled compensation while the practice is being proven.

Most sensitive assumption: **delivery hours per engagement**. Everything turns on it, it is unmeasured, and its largest component — owner interview time — is the part AI does not compress.

Cash-timing risk: fixed-fee engagements should stage payments; a two-to-three month engagement paid on completion creates a working-capital gap.

Share of the reachable buyer set implied: single-digit engagements per year against a transition population in the millions — a negligible share. **That is not the argument.** A large market does not become reachable demand. The real question is whether one operator can find eight qualified owners a year through a referral network, and that is **UNKNOWN**.

Why the underlying problem is large and costly enough for that share to matter: the operator needs eight owners a year out of a population where most listings fail and most owners are unprepared. The problem's size makes eight plausible; it does not make eight reachable.

Evidence or test needed to show the share is reachable: one adviser referring one owner who pays.

Why this remains a sustainability model rather than an income promise: every figure is an assumption with its arithmetic shown, and the base case is recorded as **failing** the compensation target rather than adjusted until it passes.

REQUIRED PUBLIC DISCLOSURE

Modeled scenario, not observed performance or an earnings forecast.

§11 Risks and failure modes

RISK OR ASSUMPTION	WHY IT MATTERS	EARLY WARNING	MITIGATION	KILL CONDITION	EVIDENCE LABEL
Owners will not pay before a deal exists	The whole business rests on it	Owners engage, then defer "until we're closer"	Sell against involuntary exits, not a planned date	Owner sees findings they had not seen and still will not pay	UNKNOWN
Brokers already do this free to win listings	Kills the channel and the offer together	Advisers respond warmly and never refer	Lead with the checklist as a credibility artifact	Three brokers say they do it themselves	UNKNOWN
Delivery hours exceed what the fee supports	Determines whether it clears at all	First engagement overruns badly	Stage the engagement; cap interview rounds	Measured hours make the fee unsellable	MODELED
Drifting across the brokerage line	Regulatory and fee forfeiture	Owner asks for a valuation or an introduction	Scope invariant; route out	Practice cannot be sold without a licence in the operator's state	OBSERVED CLM-004
Urgency is probabilistic, not scheduled	Weaker sale than the parallels	Long cycles, repeated deferral	Involuntary-exit framing	Deferral is universal across ten conversations	OBSERVED CLM-001
Owner will not give interview time	Delivery stalls	Repeated rescheduling	Pause rather than fabricate a record	—	MODELED

§12 First 30-day construction and validation plan

1. **Build the checklist and publish it.** It is the credibility artifact and the delivery spine.
2. **Run one full diagnostic, unpaid, on a real business.** Record actual hours. Note which findings the owner had not already seen.
3. **Ask three brokers** what they do today with listings they decline, and whether they would refer.
4. **Verify the perimeter** in the operator's own state, in writing.

Success signal: an owner recognises findings they had not seen and asks what remediation costs; at least one adviser will refer.

Failure signal: the owner sees nothing new; brokers do it themselves.

Kill or redesign condition: measured hours make the fee unsellable, **or** advisers will not refer, **or** the operator's state defines the perimeter so tightly that fixed-fee preparation needs a licence.

§13 Unknowns and contradictions

UNKNOWN	CLASSIFICATION
Will an owner pay before a deadline exists?	safe first-test question
Do brokers already do this free?	safe first-test question
What are real delivery hours at a defensible standard?	safe first-test question
Does any published readiness fee correspond to a real transaction?	later-stage blocker — unresolvable from public sources
Exact perimeter in a given state	later-stage blocker — operator resolves locally with counsel

No current E3 blocker. No narrative or scenario is substituting for an unresolved operating decision; the failing base case is recorded as failing.

Source notes and disclosures

- CLM-001 **OBSERVED** Exit Planning Institute, State of Owner Readiness research. <https://exit-planning-institute.org/state-of-owner-readiness>
Reported. EPI trains and certifies exit planners and has an interest in owners feeling unprepared. Directional.
- CLM-002 **OBSERVED** Exit Planning Institute, 2025 State of Owner Readiness generational report. <https://exit-planning-institute.org/hubfs/25SOOR-Generational.pdf>
Reported, self-reported survey. Same interest caveat. Shows unpreparedness, not that owners will pay to prepare.
- CLM-003 **OBSERVED** IBBA and M&A Source, Market Pulse Q2 2026 (press release). <https://www.prnewswire.com/news-releases/the-market-pulse-survey-q2-2026-reports-the-latest-trends-in-business-sales-up-to-50m-302858664.html>
Reported. Advisers reporting their own closings, not an audited database. Directional.
- CLM-004 **OBSERVED** Business Brokerage Press, state licensing resource. <https://businessbrokeragepress.com/industry-resources/state-licensing/>
Directional, not legal advice. State law changes; verify your own jurisdiction.
- ANA-002 **PARALLEL** Step 0 analogy map: SOC 2 and ISO readiness consulting
Adjacent parallel. Fixed-scope remediation before an external examination. Limit: that examination is scheduled and an exit is not.
- ANA-003 **PARALLEL** Step 0 analogy map: M&A due-diligence preparation
Adjacent parallel. Assembling records for a counterparty's scrutiny, here done years earlier for an owner. Not evidence that early preparation changes the outcome.

All fees, hours, engagement counts and costs are the Canvas's own \$10 assumptions, labeled **MODELED**. No observed sale-readiness fee exists.

ECONOMICS DISCLOSURE

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SCOPE BOUNDARY

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AI AND HOST DISCLOSURE

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Public print edition of the locked EP007 Operator Canvas (locked 2026-09-01, template operator-blueprint-v2-step1-v1.5). Text is transcribed from the lock. Omitted as internal: the pitch-deck and episode coverage map, the E3 readiness check and the lock record. Three figures are withheld in this edition, marked **[like this]**, under the publication rules for EP007.

Source Canvas SHA-256: 3376437f8eda00a4aec5b1ef6e0ff5379abb2f051e3512fc5d683ed2720b158f

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